to each other's countries in 1957, India became the first recipient of yen-denominated loans from Japan. At the time, many countries, still recalling Japan's wartime atrocities, had refused the normalization of economic engagement with Tokyo. Japanese Prime Minister Nobusuke Kishi's grandson Shinzo Abe, who would become Japan's prime minister in 2006 and again in 2012, would later warmly recount 'As a young boy seated on his knee, I would hear [my grandfather] telling me that Prime Minister Nehru introduced him to the biggest audience he had ever seen in his lifetime.' [73]

Despite India's activism in a wider Asia during the 1950s and early 1960s, a number of political challenges in its near abroad presaged difficulties that were to make themselves felt later. The 1950s witnessed the government in Ceylon (today's Sri Lanka) adopt policies favouring the Sinhalese majority and fan anti-Tamil riots. After political unrest in its nascent democracy, Nepal saw a coup d'état in 1960 by King Mahendra and the restitution of an absolute monarchy. In 1962, a military coup occurred in Myanmar. In these cases, despite domestic debates about how to manage these situations, India by and large opted pragmatically to engage the new regimes. [74]

Himalayan Setback: India and China, 1950–1962

Many of India's initial objectives—the security of its territory, its economic and technological rise and its leadership in the decolonizing world—suffered significant setbacks with the 1962 Sino–Indian border war. The events that led up to that conflict continue to be hotly debated. Although India was early in recognizing the People's Republic of China and worked to involve it in international efforts, notably at the Bandung Conference in 1955, relations took a turn for the worse in the late 1950s. The reasons were many but related primarily to the disputed boundary and the question of China's annexation of Tibet. Chinese domestic politics and international factors involving the Soviet Union and the United States also played a role